TEACHER GUIDE

WJEC GCE A Level in Business (1510QS)

# Product portfolio

Unit 2: Business Functions
**Marketing: The marketing mix, Product**



A revision lesson. Pupils run a car dealership in firms of four and revise product portfolio on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 One-model risk

Round 1

Most of your profit comes from one model, whose market has stopped growing.

**What is the main risk to your firm?**

- **A** Its price is too low
- **B** Too many models in growing markets
- **C** The model brings in too much cash
- **D** Nothing ready to replace its profit

**ANSWER**

**✓ Nothing ready to replace its profit**

**Why:** When that model fades, nothing new is ready to take its place.

## 2 A balanced range

Round 1

You want a balanced range of models.

**Which two should the range include?**

- **A** Models in growing markets
- **B** Models that bring in steady cash
- **C** Only models in shrinking markets
- **D** One model for every buyer
- **E** Only models with a small share

**ANSWER**

**✓ Models in growing markets**
**✓ Models that bring in steady cash**

**Why:** Steady earners pay for the models that will earn in future.

## 3 Rank market growth

Round 2

Three of your models and their markets, sales last year and this year.

**Order by market growth, fastest first?**

- **A** 5,000 to 6,000 cars
- **B** 40,000 to 40,800 cars
- **C** 10,000 to 11,000 cars

**ANSWER**

**1. 5,000 to 6,000 cars**
**2. 10,000 to 11,000 cars**
**3. 40,000 to 40,800 cars**

**Why:** Growth: 20%, 10%, 2%.

# Topic tasks

## 4 Growth and share

Round 2

Your model in its market.

**Market growth, and your share this year?**

| | |
|---|---|
| Market sales last year | **40000 cars** |
| Market sales this year | **50000 cars** |
| Your model's sales this year | **2000 cars** |

**ANSWER**

**25% growth, 4% sh**

(50,000 − 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

**Why:** Growth compares with last year; share is of this year's market.

## 5 Where cash goes

Round 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

**Where should the spare cash go, and why?**

**A** The newer model in the fast market

**B** Back into the leader that earned it

**ANSWER**

**✓ The newer model in the fast market**

**Why:** Cash from a mature leader is best spent building the next winner.

## 6 Drop the old model?

Round 3

An old model has a small share of a shrinking market and makes a small loss.

**What should you most likely do?**

**A** Use it to fund new models

**B** Consider dropping it

**C** Cut its price to lead the market

**D** Spend heavily to grow its share

**ANSWER**

**✓ Consider dropping it**

**Why:** A weak model in a shrinking market rarely pays to rescue.

# Final questions

Each pupil answers 6 final questions on product portfolio. They come from these 8 questions.

1. Research shows range anxiety is the main barrier to a used-EV launch. Which campaign response is most coherent?
   ✔ **Show verified battery health and real ranges**

2. A premium campaign promises a two-hour turnaround, but work usually takes four hours. Strongest conclusion?
   ✔ **The promise is not credible yet**

3. A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?
   ✔ **Defend profitable segments, refresh differentiation or plan replacement on evidence**

4. A small dealer cannot match a platform's scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
   ✔ **Focus on the specialist niche**

5. A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?
   ✔ **A focused EV service niche at small scale**

6. A dealer group's used-EV line has a small share of a fast-growing market. In the Boston Matrix, what is it?
   ✔ **Question mark**

7. Sales of a model grow fast and rivals begin to copy it. Which stage of the product life cycle is this?
   ✔ **Growth**

8. A model's sales have levelled off. Which action is an extension strategy?
   ✔ **Launching a hybrid version**